



Office of Public Affairs
U.S. Department of Justice



Two Florida Men Charged for \$34.8M Fraud Scheme Targeting Medicare Beneficiaries

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For Immediate Release

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An indictment was unsealed Friday charging two Florida men for their roles in a scheme to submit approximately \$34.8 million in false and fraudulent claims to Medicare for medically unnecessary products. As part of the scheme, the defendants and their co-conspirators targeted thousands of Medicare beneficiaries and, through deceptive telemarketing, persuaded them to accept medical equipment that they did not need, such as orthotic braces and continuous glucose monitors.

"The defendants are alleged to have perpetuated a scheme that involved the submission of \$34.8 million in fraudulent claims to Medicare for medically unnecessary medical equipment," said Acting Assistant Attorney General Matthew R. Galeotti of the Justice Department's Criminal Division. "That money, which came from American taxpayers, was intended to benefit Americans in need of medical care. Friday's arrests send a clear message to those who would defraud our healthcare system: the public fisc is not your private purse, and we will aggressively prosecute those that steal from benefit programs."

"Greed-fueled fraud schemes, like billing for medically unnecessary medical equipment, are a threat to both taxpayer-funded health care programs and patients alike," stated Deputy Inspector General for Investigations Christian J. Schrank of the Department of Health and Human Services Office of Inspector General (HHS-OIG). "Working shoulder to shoulder with our law enforcement partners, we will continue to aggressively investigate such allegations to hold fraudsters fully accountable."

"The harm done by these actors cannot be overstated," said Assistant Director Jose A. Perez of the FBI Criminal Investigative Division, "The FBI will continue to pursue those who seek to damage our healthcare system and defraud everyday Americans seeking aid."

According to court documents, Kenneth Charles Kessler III, 42, of Miami-Dade County, Florida, and Michael Andrew Gomez, 42, of Broward County, Florida, are charged in connection with their ownership

and operation of seven durable medical equipment (DME) supply companies based in Florida. Kessler and Gomez are accused of paying illegal kickbacks and bribes to purported marketing companies that targeted thousands of Medicare beneficiaries with deceptive and aggressive telemarketing campaigns. The indictment alleges that these marketing companies obtained the beneficiaries' personally identifiable information and arranged for purported telemedicine companies to generate doctors' orders for unnecessary medical equipment. Kessler and Gomez allegedly used these doctors' orders to submit false and fraudulent claims to Medicare through their network of DME companies.

Kessler and Gomez are both charged with conspiracy to commit health care and wire fraud, two counts of health care fraud, conspiracy to defraud the United States and to offer and pay health care kickbacks, and two counts of offering and paying kickbacks in connection with a federal health care program. If convicted, Kessler and Gomez each face up to 65 years in prison. A federal judge will determine any sentence after considering the U.S. Sentencing Guidelines and other statutory factors.

The U.S. Department of Health and Human Services, Office of Inspector General and the FBI are investigating the case.

Trial Attorneys Aisha Schafer-Hylton and Owen Dunn of the Criminal Division's Fraud Section are prosecuting the case.

The Fraud Section leads the Criminal Division's efforts to combat health care fraud through the Health Care Fraud Strike Force Program. Since March 2007, this program, currently comprised of nine strike forces operating in 27 federal districts, has charged more than 5,800 defendants who collectively have billed federal health care programs and private insurers more than \$30 billion. In addition, the Centers for Medicare & Medicaid Services, working in conjunction with HHS-OIG, are taking steps to hold providers accountable for their involvement in health care fraud schemes. More information can be found at www.justice.gov/criminal-fraud/health-care-fraud-unit.

An indictment is merely an allegation. All defendants are presumed innocent until proven guilty beyond a reasonable doubt in a court of law.

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